There are two types of interest rates: fixed and floating. It's pretty simple:

Floating Rate ∝ RBI Rates

Fixed Rates is steady!

Floating Rates:
These rates move in line with the interest rates set by the RBI (Reserve Bank of India). So, if the RBI changes rates, your loan's interest rate will change too. Mostly public sector banks often offer these floating rates for car loans.

Fixed Rates:
Fixed-rate loans, as the name suggests, keep things steady. The interest rate remains the same throughout your loan period. Both public and private banks offer fixed rates for car loans

So, here's the big question:

Which One to Choose?

It really depends on what interest rates are doing:

Floating Rate Loans

If interest rates are high and have been rising for a while, a floating rate loan is like a safety net. It means your loan won't be stuck at a high rate forever. Just remember, there might be a bump in interest rates before they start going down.

Fixed Rate Loans

If interest rates are low, you could opt for a fixed rate loan. You can keep things stable, and you won't have to worry about sudden rate hikes.

However, the interest rate charged to you under floating rate and fixed rate loans will be different, so check the EMI schedule along with the trend of interest rates to decide.